SUMMARY · MK 3 MARKETING MANAGEMENT · WEEK 1

Marketing Foundations: Creating Customer Value & Company Strategy

Marketing isn't just selling or advertising. It's creating customer value and relationships to capture value in return. Part two links marketing to company strategy: mission, portfolio, value chain, STP and the marketing mix. (Kotler & Armstrong ch. 1–2.)

Material

1 What is marketing?

Marketing creates customer value and strong relationships to capture value in return. Marketing management chooses target markets and gets, keeps and grows customers through superior value — answering: **whom to serve** and **how to serve them** (value proposition).

Understand market → Value-driven strategy → Marketing program → Profitable relationships → Capture value

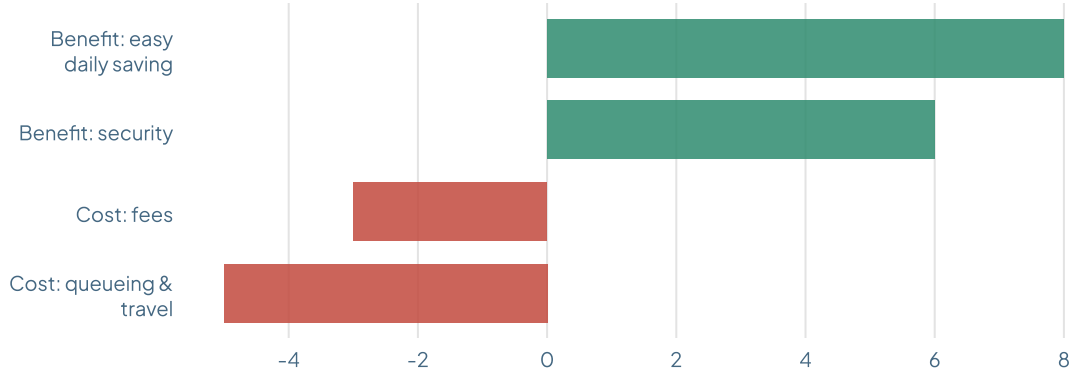
2 The 5-step marketing process: create value, then capture it

Deep dive

1. Understand the market.
2. Design a customer-driven strategy.
3. Build an integrated programme.
4. Build profitable relationships.
5. Capture value back.

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Customer-perceived value = Total benefits - Total costs
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Example: value of a savings product for market traders



Agents and mobile deposits remove the biggest cost.

3 Needs, wants, demands

Needs (states of felt deprivation — physical, social, individual), **wants** (needs shaped by culture and personality), **demands** (wants backed by buying power). Look for the need behind the want — key for low-income markets (Unilever Brazil).

4 Five marketing management orientations

Concept	Belief
Production	Available, affordable products; efficiency.
Product	Best quality and features.
Selling	Push what we make via heavy promotion (inside-out).
Marketing	Know target needs and satisfy them better than rivals (outside-in).
Societal	Also consider long-term consumer and societal well-being.

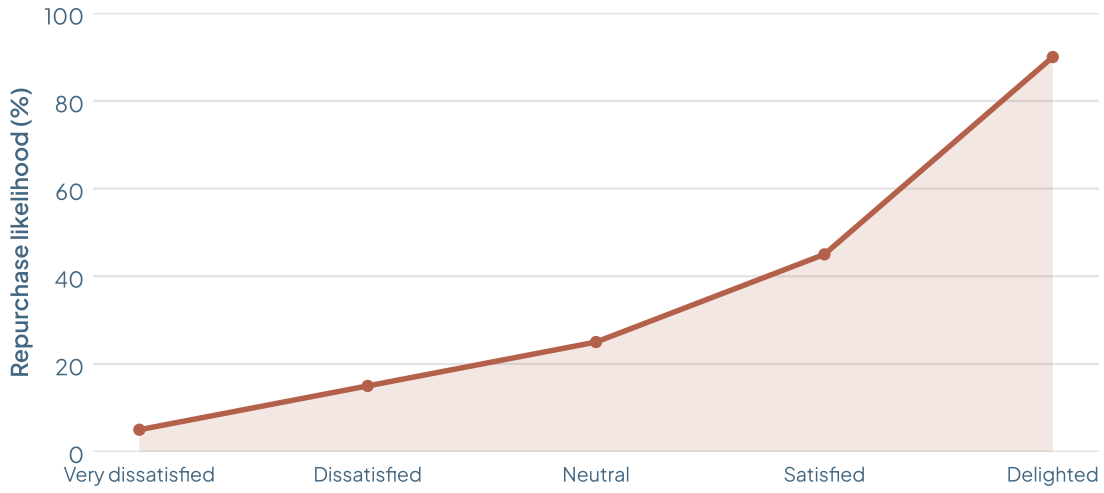
Customers often don't know what they want or what's possible — understand unstated needs.

5 Satisfaction and loyalty: why 'satisfied' isn't enough

Deep dive

Loyalty jumps only when customers are delighted, not merely satisfied.

Satisfaction vs loyalty (conceptual)



↕ Top: long-term loyalty · bottom: short-term

Barnacles	True friends
Strangers	Butterflies

↔ Left: low profit potential · right: high

6 Value, satisfaction and customer relationships

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Customer-perceived value = Perceived benefits - Perceived costs
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Satisfaction = performance vs expectations — manage expectations carefully. Today brands combine mass, online, mobile and social media to become part

of consumers' conversations. Capture value via loyalty, share of customer, lifetime value and customer equity.

7 Marketing's role in company strategy

Strategic planning fits goals and capabilities to changing opportunities: (1) a **market-oriented mission** (Nike inspires athletes, not "sells shoes"); (2) business → marketing objectives; (3) **portfolio** analysis (BCG: stars, cash cows, question marks, dogs; Ansoff growth: penetration, market development, product development, diversification); (4) partnering — value chain inside, value delivery network outside.

8 Two corporate strategy tools: Ansoff and BCG Deep dive

Ansoff

↕ Top: existing markets · bottom: new

Market penetration	Product development
Market development	Diversification

↔ Left: existing products · right: new

BCG

↕ Top: high growth · bottom: low

Star	Question mark
Cash cow	Dog

↔ Left: high relative share · right: low

9

Marketing strategy: STP and the marketing mix

STP: segmentation → targeting → differentiation & positioning. **4P ↔ 4C**: product/customer solution, price/customer cost, place/convenience, promotion/communication; services add People, Process, Physical evidence (7P). Manage via analysis (SWOT), planning (marketing plan contents), implementation and control; measure **ROMI**.

Key takeaways

1. Marketing creates value and relationships to capture value.
2. Core questions: whom to serve and with what value proposition.
3. Needs → wants → demands (wants + buying power).
4. Marketing (outside-in) vs selling (inside-out); societal concept adds long-term well-being.
5. Perceived value = benefits – costs; satisfaction = performance vs expectations.
6. Market-oriented missions; BCG for portfolio, Ansoff for growth.
7. STP + 4P/4C/7P; measure with ROMI.

Case studies

Case & worked answers

Quick application: dissecting mission and marketing mix

Take a state bank: a product-oriented mission ("provide banking products") vs a market-oriented one ("help every family and SME manage and grow money") — the latter reveals new opportunities. Applying 4P → 4C to savings for market

traders: easy daily saving, total cost including time, agents and mobile deposits, peer testimonials. The same logic returns in the Unilever Brazil case.

Practice questions

Try answering first. The answer key is below each question.

1. Customer-perceived value is…

A. The price
B. Benefits minus costs as the customer sees them
C. Production cost
D. Ad volume

Answer: B. Costs include time, effort and risk.

2. Selling existing products in new regions is…

A. Penetration
B. Product development
C. Market development
D. Diversification

Answer: C. Existing product, new market.

3. High share in a mature market is a…

A. Star
B. Question mark
C. Cash cow
D. Dog

Answer: C. Cash cow.

4. The marketing concept differs from the selling concept because it…

A. Pushes volume
B. Starts from customer needs
C. Focuses on production
D. Avoids research

Answer: B. Outside-in vs inside-out.

5. Profitable but disloyal customers are…

A. True friends
B. Butterflies
C. Barnacles
D. Strangers

Answer: B. Butterflies.

Sources

- -P3MD- Week 1–MK3.pdf
- Kotler & Armstrong, Principles of Marketing — bab 1–2